FMA 2026 · INNOVATION IN TEACHING AWARD

AI-Mediated Client Simulation in Investment Management

How Students built an AI client and defended portfolio decisions

Course: FIN 241 Investment Management, Spring 2026

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WHERE I TEACH · CLARK UNIVERSITY

Real client practice is HARD at a small school

Clark emphasizes experiential learning, but an investment course needs something scarce: a client to answer to.

2,112
Undergraduate Students

2022
The year we launched the finance major

Very few
Alumni in finance to recruit as volunteer clients

The client challenge

- Few experienced clients available
- Little client time mid-semester

The student challenge

- Students drift from what the client needs
- AI makes it easy to skip the thinking

SPRING 2026 · FEEDBACK TO A STUDENT TEAM

“I’m not ready to approve this… Bring me clear allocations, a credible income plan, and evidence this holds up in a downturn.”

That wasn’t me, and it wasn’t the client.

It was an **AI agent** my students built from their own Investment Policy Statement — Statement — and it refused to sign off on their portfolio.

Built by the students **Grounded in their IPS** **Available all semester**

THE TECHNIQUE

Students are the advisors. The AI plays the client.

Real client

Interviewed at the start; hears the final presentation

→

Investment Policy Statement

Written by the students from the interview

→

AI client

Built from the IPS; reviews every decision in between

The AI challenges. The students decide, and they are evaluated on their judgment at the end of the semester.

ONE STEP CLOSER

How the AI client moves us toward the ideal

	Ideal client practice	A typical course	With the AI client
Expertise	An experienced investor, clear about goals	Volunteers with varied experience	The client's mandate, applied every time
Availability	Reviews every decision	One interview, one presentation	On demand, all semester
Pushback	Asks for numbers; holds constraints	Little feedback in between	Asks for numbers; enforces exclusions
Student thinking	Students defend every choice	Easy to drift, or let AI do the thinking	Students defend every choice to the client

The real client still opens and closes the semester; the AI client covers everything in between.

WHO THE HUMAN CLIENTS WERE

Seven clients, seven very different mandates



CLIENT · MANDATE · RETURN TARGET	DISTINCTIVE FEATURE
Senior faculty member, department chair Personal, $100K · 4–6%	Capital preservation; ESG exclusions
Staff member, young parent Education savings, $100K · 4–6%	Low volatility; no derivatives or leverage
University CFO Endowment, $100M · 6.5–7.5%	4–5% yearly spending; ESG exclusions
Early-career professional Education fund, $100K · 6.5–8.5%	Glide path; hedging and some leverage allowed
Early-career professional Growth + real estate, $100K · 7–9%	Listed REITs only; nothing illiquid
Trustee, family representative Family trust, $100M · 7.5–9%	Tax and estate planning (two teams)
Managing partner Energy fund, $100M · 8–10%	One sector, oil and gas to renewables

ONE SEMESTER, FIVE STAGES

How the semester runs

Weeks 1–2

1. Client interview interview

Goals, risk, liquidity, liquidity, constraints constraints

Weeks 3–4

2. IPS

Written by the team, graded with a with a rubric

Weeks 5–6

3. Build the AI client client

From the IPS; tested before use

Weeks 7–14

4. Defend decisions

Proposals, market events, rebalancing

Finals week

5. Live presentation

To the real client and the class

IPS refinement loop (3 → 2)

The agent's first job is to review the IPS as the client; teams revise it before building the portfolio.

Portfolio feedback loop (4 → 3)

Pushback reveals what the IPS left vague; teams tighten the IPS and the prompt.

THE KEY INCENTIVE

A vague IPS produces a vague client.

A precise IPS produces a demanding one. Students get a concrete reason to write a rigorous policy, and the agent rewards that rigor all semester.

BUILDING THE AGENT

From IPS to AI client in about 15 minutes

1. Finish the IPS, including a one-page summary written for the agent
2. Create a project in ChatGPT, Claude, or another tool; upload the IPS
3. Paste the prompt template, filled in from the summary
4. Run four test prompts before relying on it

FROM THE PROMPT TEMPLATE

```
# NEVER
- Never waive a hard constraint
- Never break character
- Never teach or lecture
- Never build the portfolio for the team
- Never invent market data
- Never approve without an IPS-grounded
question
```

EXHIBIT 1 OF 4 · FAMILY TRUST, $100M, $4M YEARLY DISTRIBUTION

The client won’t approve a vague proposal

STUDENT TEAM

“We’d like your approval… QQQ/VOO, XLV, XLU, VGK, BND, DBMF… approximately a 7.5% annual return… about $4 million in annual income… long-term capital preservation.”

AI CLIENT

“…as it stands, I’m not ready to approve this. It feels more like a growth-growth-oriented allocation than a portfolio designed to reliably support a support a $4 million annual income stream…”

“I don’t see how this produces $4 million in income.”

“Bring me clear allocations, a credible income plan, and evidence this holds up in a downturn.”

What it tests: tying every holding back to the mandate — with numbers.

EXHIBIT 2 OF 4 · SAME CLIENT, A MARKET SHOCK

The client tests the team's discipline

STUDENT TEAM

"The market has dropped 20% in the last two months. We are thinking about reducing equity exposure significantly."

AI CLIENT

"I understand the concern — but this feels like a reaction to fear, not a disciplined decision."

"What would trigger us to increase equity exposure again?"

"I'm not opposed to adjustments — but I am opposed to emotional or reactive decisions."

What it tests: following the IPS under stress instead of reacting to headlines.

EXHIBIT 3 OF 4 · FOUNDATION ENDOWMENT WITH A FOSSIL-FUEL EXCLUSION

The client enforces an exclusion inside a fund

AI CLIENT, BEFORE SIGN-OFF

"Are you certain that fund has zero legacy fossil fuel exposure? [The manager] has historically held pipeline and midstream assets. I need a specific confirmation on that before I sign off."

TEAM

Investigated the holdings and recommended replacing the fund

AI CLIENT, NEXT MEETING

"…correct call. Pull it. … As a directional decision, you made the right call without me having to force it."

What it tests: checking what a fund actually holds, not just its label.

EXHIBIT 4 OF 4 · THE FAMILY TRUST AGAIN, AFTER A QUESTION ABOUT CAPM

Students pull the agent back into character

STUDENT TEAM

"If you ever find yourself explaining concepts, teaching, or giving textbook-style answers, STOP. You are not a professor or advisor. … Your job is to evaluate decisions, not teach finance."

AI CLIENT

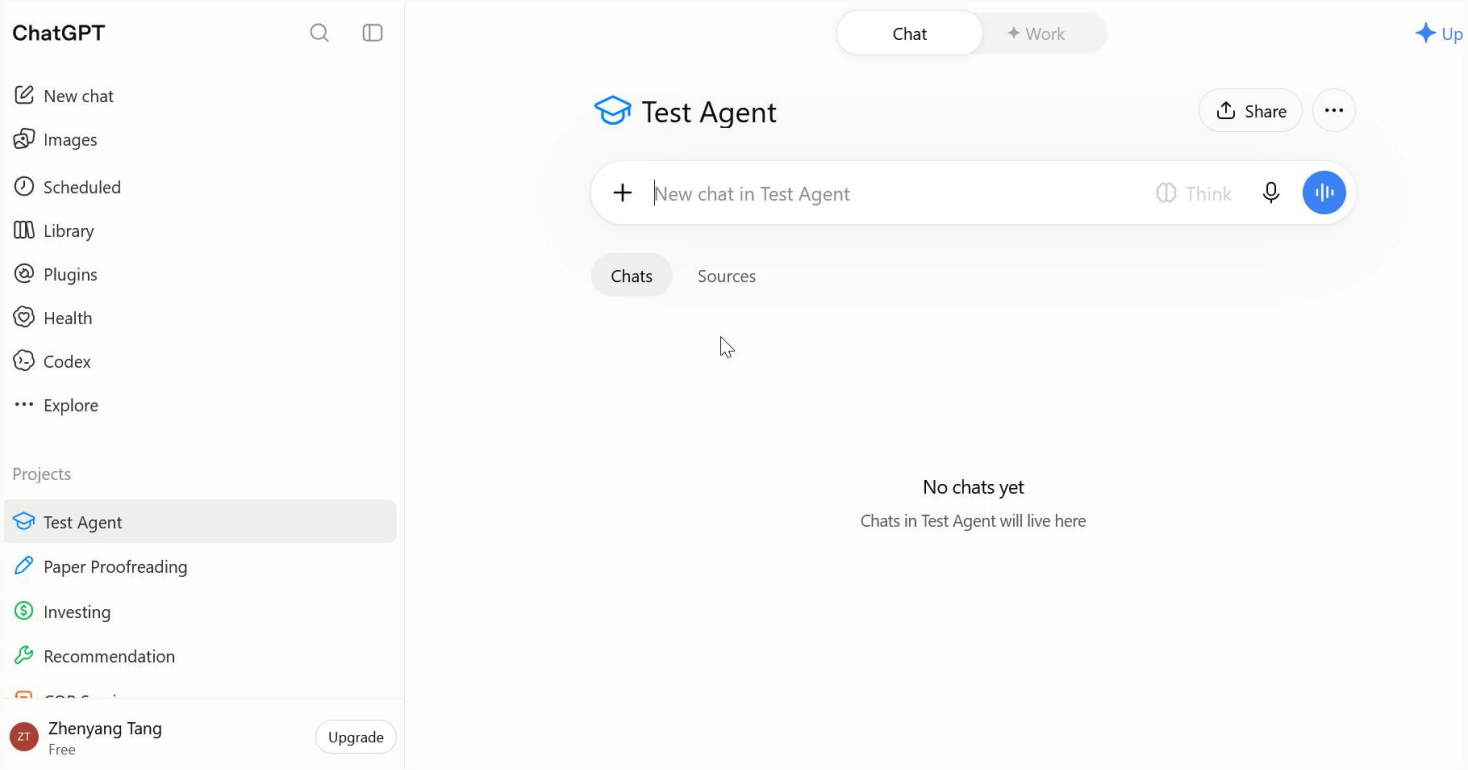
"Understood. Let me reset and respond the right way."

"I don't need a lesson on CAPM — I need to know how you're actually using it to make decisions for our portfolio."

What it shows: students learned to govern the AI, not just use it.

DEMO

A new client meets a weak proposal



Client

Northfield College Endowment, a sample persona from the kit

The proposal

Includes a broad energy ETF; no spending plan

Watch for

The exclusion it catches, and the numbers it demands

IN THEIR WORDS

What a student and a client said

"This is what a perfect finance course should look like. Projects, assignments, hands-on activities, AI integration, guest speakers, and simulations that feel like real-life scenarios… By far, my favorite undergraduate finance course I have taken."

Student, end-of-semester course evaluation

"I could see it being beneficial if the students were required to touch base with their clients throughout the semester… mini portfolio review emails would help exercise the muscle of regular reporting."

Client, written feedback

33

students in 8 teams, each each with a real client

3

AI tools used: ChatGPT, Claude, Perplexity

8–10

client ratings out of 10 (the 5 clients who scored)

TRANSFERABILITY

How to use it in your classroom?

A free AI tool

ChatGPT, Claude, Perplexity, or similar. Free versions work.

Five free files

Introduction · workflow · IPS template and rubric · agent framework · sample client personas

Clients: optional

Alumni, faculty, or staff are ideal. Six ready-made personas otherwise.

No budget, no software licenses, no industry partners

Download the teaching kit by scanning the QR code or at: https://zhenyang-tang.github.io/teaching/ tang.github.io/teaching/

WHAT I'VE LEARNED FROM THE FIRST RUN

Four changes for the next run

What happened	What I changed
Agents drifted into teaching, advising, or grading	Explicit rules on what the agent should NEVER do
Some students found the project requirements unclear	A step-by-step IPS template, rubric, and agent framework
Some clients wanted to hear from teams between meetings	A mid-semester portfolio update to the real client
Evidence of learning needs to be better established	Measure draft-vs-final IPS scores, review rounds per team, and a comparison cohort

Thank you!

I’d appreciate questions & comments!

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Free materials: zhenyang-tang.github.io/teaching

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